

DRAFT · 42 items outstanding on the review screen

# Pine Ridge

*Raleigh, NC*

412-unit multifamily community. Quarterly performance review for the period ending Dec 31, 2026.

412

UNITS

2004

VINTAGE

Jun '22

ACQUIRED

\$68M

PURCHASE PRICE

PREPARED BY  
Redwood Residential Partners  
Period ending Dec 31, 2026

# Property Description



A suburban workforce-housing community with 412 units across multiple low-rise buildings.

|                                      |                  |               |                    |                    |               |
|--------------------------------------|------------------|---------------|--------------------|--------------------|---------------|
| ADDRESS                              | SUBMARKET        | MSA           | YEAR BUILT         |                    |               |
| 4100 Cedar Loop<br>Raleigh, NC 27606 | —                | —             | 2004               |                    |               |
| BUILDING CLASS                       | SITE / DENSITY   | ACQUIRED      | AVG UNIT SIZE      |                    |               |
| —                                    | —                | Jun 17, 2022  | 868 sf             |                    |               |
| 4Q26 AVG IN-PLACE RENT               | PRIOR QTR (3Q26) | QOQ VARIANCE  |                    |                    |               |
| \$1,641 / mo                         | \$1,619 / mo     | +\$22 / +1.4% |                    |                    |               |
| Type                                 | Units            | Avg SF        | 3Q26 in-place rent | 4Q26 in-place rent | QoQ variance  |
| 1 BR · 1 BA                          | 160              | 690           | \$1,413            | \$1,435            | +\$22 / +1.6% |
| 2 BR · 1-2 BA                        | 228              | 952           | \$1,718            | \$1,740            | +\$22 / +1.3% |
| 3 BR · 2 BA                          | 24               | 1,260         | \$2,083            | \$2,105            | +\$22 / +1.1% |
| Total / Weighted                     | 412              | 868           | \$1,619            | \$1,641            | +\$22 / +1.4% |

# Property Summary & Business Plan

PINE RIDGE · 4Q26

PURCHASE PRICE

\$67.5M

\$163,835 / unit · 412 units

EQUITY INVESTED (ITD)

\$22.5M

ORIGINAL BUSINESS PLAN

ORIGINAL UNDERWRITING BUDGET

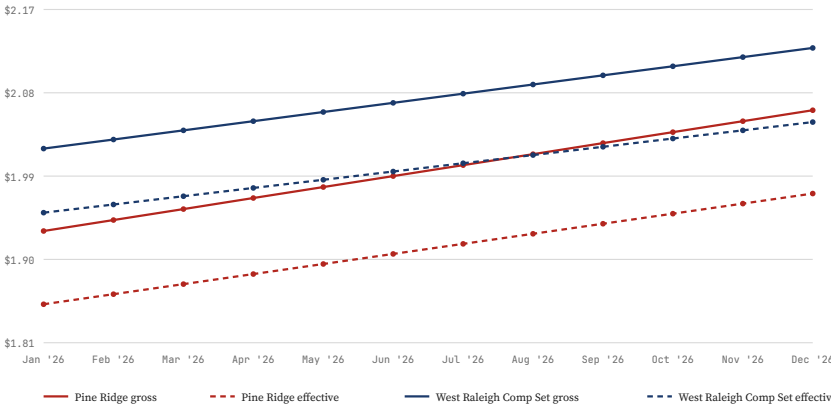
| Category                   | Original UW | Spent to date* | % spent |
|----------------------------|-------------|----------------|---------|
| VALUE ADD PROJECTS         |             |                |         |
| Total value add projects   | —           | —              | —       |
| RECURRING CAPEX            |             |                |         |
| Total recurring capex      | —           | —              | —       |
| Total underwritten capital | —           | —              | —       |

\*—

4Q26 EQUITY CONTRIBUTIONS

CASH DISTRIBUTIONS (ITD)

SUBMARKET RENT TRENDS



# Financing Overview

SENIOR LOAN

\$45.00M

Initial principal · — 5.75% · IO through — · matures —

|                        |                       |
|------------------------|-----------------------|
| LENDER                 | BORROWER              |
| Summit Commercial Bank | —                     |
| EFFECTIVE DATE         | MATURITY DATE         |
| —                      | —                     |
| LOAN TERM              | RATE                  |
| —                      | 5.75%                 |
| IO PERIOD              | AMORTIZATION          |
| —                      | —                     |
| IO PAYMENT (MONTHLY)   | P&I PAYMENT (MONTHLY) |
| \$166,667              | —                     |
| RECOURSE               | RESERVE BALANCE       |
| —                      | —                     |

STRUCTURE, PREPAYMENT & RESERVES

LOAN PHASES

|                    |                |
|--------------------|----------------|
| IO period · — to — | \$166,667 / mo |
| P&I phase · — to — | — / mo         |

PREPAYMENT

—

RESERVES & ESCROWS

|                           |        |
|---------------------------|--------|
| Replacement reserve       | — / mo |
| Repairs escrow (one-time) | —      |

# Financial & Capital Commentary

4Q26 TAKEAWAY

01 · REVENUE

- \$50,000 VS. BUDGET

02 · OPERATING EXPENSES

- \$25,000 VS. BUDGET

03 · NOI & CASH FLOW

- \$75,000 VS. BUDGET

Total revenue of \$1,880,000 finished –2.6% against the \$1,930,000 budget. Gain/loss to lease was \$45,000 versus a \$55,000 budget (–18.2%).

Total operating expenses of \$1,090,000 finished –2.3% against the \$1,065,000 budget. Insurance –\$7,000 and utilities –\$10,000 versus budget.

NOI of \$790,000 finished –8.7% against the \$865,000 budget. Net cash flow after debt service was \$290,000 versus \$365,000 budgeted (–\$75,000). Capital spend was \$93,000 against a \$95,000 quarterly budget; year to date \$372,000 of the \$380,000 annual budget.

## Financial Performance

PINE RIDGE · 4Q26  
OCT-DEC 2026 VS. BUDGET & YTD

| \$ in actuals                           | 4Q26 actual      | 4Q26 budget      | Var %           | YTD actual       | YTD budget       | Var %            |
|-----------------------------------------|------------------|------------------|-----------------|------------------|------------------|------------------|
| <b>Revenue</b>                          |                  |                  |                 |                  |                  |                  |
| Gross Potential Rent                    | 1,750,000        | 1,780,000        | -1.7%           | 7,000,000        | 7,120,000        | -1.7%            |
| Loss/Gain to Lease                      | 45,000           | 55,000           | -18.2%          | 180,000          | 220,000          | -18.2%           |
| Concessions                             | (55,000)         | (45,000)         | -22.2%          | (220,000)        | (180,000)        | -22.2%           |
| Vacancy                                 | (135,000)        | (120,000)        | -12.5%          | (540,000)        | (480,000)        | -12.5%           |
| Pet Rent                                | 15,000           | 14,000           | +7.1%           | 60,000           | 56,000           | +7.1%            |
| <b>Net Rental Income</b>                | <b>1,620,000</b> | <b>1,684,000</b> | <b>-3.8%</b>    | <b>6,480,000</b> | <b>6,736,000</b> | <b>-3.8%</b>     |
| Utility Income                          | 180,000          | 175,000          | +2.9%           | 720,000          | 700,000          | +2.9%            |
| Other Income (net of bad debt)          | 80,000           | 71,000           | +12.7%          | 320,000          | 284,000          | +12.7%           |
| <b>Total Revenue</b>                    | <b>1,880,000</b> | <b>1,930,000</b> | <b>-2.6%</b>    | <b>7,520,000</b> | <b>7,720,000</b> | <b>-2.6%</b>     |
| <b>Operating expenses</b>               |                  |                  |                 |                  |                  |                  |
| Payroll                                 | 250,000          | 245,000          | -2.0%           | 1,000,000        | 980,000          | -2.0%            |
| General & Administrative                | 70,000           | 68,000           | -2.9%           | 280,000          | 272,000          | -2.9%            |
| Marketing                               | 35,000           | 40,000           | +12.5%          | 140,000          | 160,000          | +12.5%           |
| Repairs & Maintenance                   | 90,000           | 85,000           | -5.9%           | 360,000          | 340,000          | -5.9%            |
| Utilities                               | 250,000          | 240,000          | -4.2%           | 1,000,000        | 960,000          | -4.2%            |
| Management Fees                         | 70,000           | 69,000           | -1.4%           | 280,000          | 276,000          | -1.4%            |
| Property Taxes                          | 210,000          | 210,000          | flat            | 840,000          | 840,000          | flat             |
| Insurance                               | 115,000          | 108,000          | -6.5%           | 460,000          | 432,000          | -6.5%            |
| <b>Total Operating Expenses</b>         | <b>1,090,000</b> | <b>1,065,000</b> | <b>-2.3%</b>    | <b>4,360,000</b> | <b>4,260,000</b> | <b>-2.3%</b>     |
| <b>Net operating income</b>             |                  |                  |                 |                  |                  |                  |
| NOI                                     | 790,000          | 865,000          | -8.7%           | 3,160,000        | 3,460,000        | -8.7%            |
| Debt Service                            | 500,000          | 500,000          |                 | 2,000,000        | 2,000,000        |                  |
| <b>Net Cash Flow After Debt Service</b> | <b>290,000</b>   | <b>365,000</b>   | <b>(75,000)</b> | <b>1,160,000</b> | <b>1,460,000</b> | <b>(300,000)</b> |

# Capital Projects

| Line item                | 4Q26 actual | 4Q26 budget | Var \$  | YTD actual | YTD budget | Var \$   | Annual budget |
|--------------------------|-------------|-------------|---------|------------|------------|----------|---------------|
| Plumbing & Water Heaters | 40,000      | 45,000      | +5,000  | 160,000    | 180,000    | +20,000  | 180,000       |
| HVAC Additions           | 35,000      | 30,000      | (5,000) | 140,000    | 120,000    | (20,000) | 120,000       |
| Paint                    | 18,000      | 20,000      | +2,000  | 72,000     | 80,000     | +8,000   | 80,000        |
| Total capital spend      | 93,000      | 95,000      | +2,000  | 372,000    | 380,000    | +8,000   | 380,000       |

# Submarket Comparison

SUBMARKET VACANCY

11.2%

CoStar — · prior quarter 10.6%

YOY ASKING RENT

−0.8%

\$1,645/unit avg market asking · prior quarter +0.4%

UNDER CONSTRUCTION

720 units

720 units under construction (3.2% of inventory)

| Property name      | Units | Vintage | Leased % | Asking rent | Eff. rent (NER) | Concession |
|--------------------|-------|---------|----------|-------------|-----------------|------------|
| Pine Ridge SUBJECT | 412   | 2004    | 85.0%    | —           | —               | —          |
| Cedar Grove        | 360   | 2008    | 91.0%    | —           | —               | —          |
| Westlake Terrace   | 296   | 2001    | 89.0%    | —           | —               | —          |
| Comp set average   | 328   | 2005    | 90.1%    | —           | —               | —          |

OCCUPANCY

—

EFFECTIVE RENT

—

CONCESSIONS

—

Comp set average across 2 comparables: leased % unit-weighted. Subject leased % is physical occupancy per the Yardi rent roll.

# Occupancy & Leasing

SEP 30, 2026

86.17%

355 / 412 occupied

DEC 31, 2026

84.95%

350 / 412 occupied · 12 future / applicants

QUARTER CHANGE

-121 bps

—

NEW LEASES · 4Q26 · BY FLOOR PLAN

OVERALL +2.5%

—

| Floor plan       | Count | Avg prior | Avg current | \$ LTO | % LTO  |
|------------------|-------|-----------|-------------|--------|--------|
| PR.B1 · 905 sf   | 1     | \$1,640   | \$1,675     | +\$35  | +2.13% |
| PR.B2 · 1,040 sf | 1     | \$1,780   | \$1,830     | +\$50  | +2.81% |
| New Leases total | 2     | \$1,710   | \$1,753     | +\$43  | +2.49% |

RENEWALS · 4Q26 · BY FLOOR PLAN

OVERALL +3.2%

—

| Floor plan     | Count | Avg prior | Avg current | \$ LTO | % LTO  |
|----------------|-------|-----------|-------------|--------|--------|
| PR.A1 · 690 sf | 1     | \$1,395   | \$1,440     | +\$45  | +3.23% |
| Renewals total | 1     | \$1,395   | \$1,440     | +\$45  | +3.23% |

LTO REFLECTS LEASES OF ALL TERMS WITH A RENEWAL COMMENCEMENT OR NEW LEASE START DATE WITHIN 4Q26 (2026-10-01 TO 2026-12-31). SOURCE: YARDI LEASE TRADE-OUT REPORT.

# Status Update & 1Q27 Goals

STATUS UPDATE

4Q26 collections recovered: \$5,000 · bad debt write-offs: \$10,000

1Q27 GOALS / INITIATIVES